01 | KEY CONCEPTS

Incorporation of Contractual Terms

A statement made in negotiations can shape the bargain without becoming part of it. The distinction turns on whether the parties objectively undertook a contractual obligation.

When does a statement become a binding term?

Read the words and conduct in context at the time of contracting. A clear promise, made in response to a point the other party treats as essential, is stronger evidence of a term than a general assurance about quality.

01 **Advertising puff**

An obvious exaggeration that a reasonable recipient would understand as sales talk. "The best coffee in the world" is a typical example of a claim too vague to amount to a promise.

02 **Representation**

A statement of fact made to the other party, which may induce that party to contract. A seller's statement that a machine was serviced last month may be a representation even if the seller did not undertake contractual responsibility for its accuracy.

03 **Contractual term**

A provision forming part of the parties' rights and obligations. "The supplier shall deliver the machine by 30 June" is an express term when agreed. Express terms may be oral or written. An implied term enters the contract on a separate legal basis.

Why the distinction matters

Breach of a term can give rise to damages. Termination depends on the nature of the term and, where relevant, the seriousness of the breach. An actionable misrepresentation may justify rescission and, on an applicable legal basis, damages. The same statement can be both a term and a misrepresentation. Under section 1 of the *Misrepresentation Act 1967*, incorporation alone does not bar an otherwise available right to rescind.

02 | THE OBJECTIVE TEST

How the courts assess the evidence

The court asks how a reasonable person in the parties' position would understand the words and conduct in context. The following factors help to establish that objective intention. Their weight depends on the evidence.

01 Wording and precision

Was there a definite commitment or a qualified opinion? Identify exactly what was said and what the recipient was entitled to understand.

02 Importance to the bargain

Did the recipient make clear that they would proceed only if the assurance was given? That gives a specific undertaking particular weight.

03 Knowledge and verification

Who had access to the relevant facts or the expertise to check them? Did the speaker invite the recipient to rely on the statement or to verify it independently?

04 Timing and written record

When was the statement made? Its omission from a detailed final agreement can count against incorporation. The effect of an entire agreement clause depends on its wording and scope.

LEADING CASE

A promise to carry below deck

J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd [1976] 1 WLR 1078 · Court of Appeal

Facts	Evans agreed to container shipment after its freight forwarder gave an oral assurance that the goods would be carried below deck. A container holding a machine was stowed on deck and lost overboard. The forwarder relied on its written standard conditions.
Decision	The Court of Appeal held the specific assurance binding and refused to let the forwarder rely on the standard conditions to escape liability for breaching it. Roskill LJ treated the agreement as partly oral and partly written. Lord Denning MR approached the assurance as a collateral undertaking.
Significance	The assurance induced Evans to accept the new shipping method. The case turns on the particular promise and the contractual context in which it was given.

03 | CASES AND APPLICATION

The same question, different outcomes

The car-sale cases show how the parties' relative knowledge changes what a buyer may reasonably understand a seller to have undertaken.

Oscar Chess Ltd v Williams [1957] 1 WLR 370	A private seller relied on the registration book when describing the car's model year to a motor dealer. The majority treated the description as a representation. In context, the seller had passed on information from a document without assuming contractual responsibility for its accuracy.
Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd [1965] 1 WLR 623	A specialist dealer assured a buyer that a used Bentley had covered only 20,000 miles since a replacement engine and gearbox had been fitted. Given the assurance and the dealer's ability to check the car's history, the Court of Appeal held that it was a contractual warranty.

Apply the analysis

A supplier says, "We will deliver the unit by 30 June." The buyer explains that delivery by that date is essential. The signed order lists the price and model but omits the date.

Suggested analysis The precise promise and its communicated importance support incorporation. The omission calls for close examination of the signed order and the circumstances of contracting. To record the obligation expressly, the order could state, "The supplier shall deliver the unit by 30 June."

Cases and legislation

J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd [1976] 1 WLR 1078 · Case note

Heilbut, Symons & Co v Buckleton [1913] AC 30

Oscar Chess Ltd v Williams [1957] 1 WLR 370

Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd [1965] 1 WLR 623

Misrepresentation Act 1967 ss 1–2